



KARN HR ACADEMY

Market Structures & Concepts of Revenue

FY B.Com | Advanced Economic Theory (Unit IV)

Chapter 24

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MARKET STRUCTURES & CONCEPTS OF REVENUE

FY B.Com | Advanced Economic Theory (Unit IV)

Chapter 24: Market Structures and Concepts of Revenue for a Firm

1. WHAT IS A MARKET?

Definition: A market is a place or region where buyers and sellers meet to exchange goods at an agreed price.

Key Point: In economics, 'market' does NOT mean a physical place. It means any region where buyers and sellers communicate and transact at a common price for the same commodity.

Four Essentials of a Market:

- (a) **A Commodity:** Some good or service being bought and sold
- (b) **Buyers & Sellers:** People with desire and ability to buy and sell at various prices
- (c) **A Place:** Physical location, region, country, or even online platform
- (d) **Communication:** Price information flows freely between buyers and sellers so they know the prevailing market price

2. CLASSIFICATION OF MARKETS

Based on Area/Geography:

- **Local Market:** Restricted to a small town or locality (e.g., vegetable mandi, local fish market)
- **National Market:** Covers entire country (e.g., Indian steel market, cement market)
- **World Market:** International trade (e.g., crude oil, international gold market, diamonds)

Based on Time:

- **Spot/Immediate Market:** Goods delivered immediately (day's trading)
- **Short-term Market:** Few weeks/months (agricultural produce)
- **Long-term Market:** Takes years (capital goods like machinery, buildings)

3. MARKET STRUCTURES (MOST IMPORTANT)

Markets are classified based on **THREE CRITERIA:**

1. **Number of firms** producing the product
2. **Nature of product** (homogeneous or differentiated)
3. **Ease of entry** for new firms

Table: Classification of Market Structures

Market	No. of Firms	Product Type	Price Control	Entry	Key Example
Perfect Competition	Many	Homogeneous	None	Free	Wheat farming
Imperfect Competition					
(i) Monopolistic	Many	Differentiated	Some	Free	Restaurants
(ii) Pure Oligopoly	Few	Homogeneous	Some	Limited	Cement
(iii) Diff. Oligopoly	Few	Differentiated	Large	Limited	Cars/Phones
Monopoly	One	Unique	Very Large	Barriers	Railways

DETAILED EXPLANATION OF EACH MARKET STRUCTURE

1. PERFECT COMPETITION

Definition: Market with large number of firms producing homogeneous (identical) product with no individual firm able to control price.

Main Features:

- ✓ **Large number of firms** - many buyers and sellers
- ✓ **Homogeneous product** - all firms' products are identical
- ✓ **Price taker** - no firm can influence price (Demand is perfectly elastic)
- ✓ **Free entry & exit** - new firms can enter, old ones can leave easily
- ✓ **Perfect information** - all know about prices and market conditions
- ✓ **Perfect mobility of factors** - land, labour, capital can move freely

Examples: Agricultural markets (wheat, rice), vegetable markets, cotton

Why can't a firm control price? Because it's just one small producer among many. If it raises price even slightly, customers will buy from competitors. If it lowers price, it gains volume but makes no extra profit (since many will do the same).

2. IMPERFECT COMPETITION

Definition: Any market where firms have some control over price. Includes monopolistic competition, oligopoly, and monopoly.

(i) MONOPOLISTIC COMPETITION

- **Many firms** (but fewer than perfect competition)
- **Differentiated products** - close substitutes but NOT identical
- **Some price control** - can raise price without losing all customers
- **Free entry & exit** - new firms can easily enter
- **Product differentiation through:** Brand names, packaging, quality, location, advertising

Examples: Restaurants (Domino's, McDonald's, local dhaba), clothing shops (branded vs local), hair salons, grocery stores

(ii) PURE OLIGOPOLY (Without Product Differentiation)

- **Few large firms** dominate the market
- **Homogeneous products** - identical products, but limited by few producers
- **Some price control** - firms can influence price, but must consider rivals' reactions
- **Barriers to entry** - high capital costs prevent new entrants
- **Interdependence:** Each firm's decision affects others (e.g., if one lowers price, others must follow)

Examples: Cement industry (only few manufacturers), steel industry, petroleum refining

(iii) DIFFERENTIATED OLIGOPOLY (With Product Differentiation)

- **Few firms** producing differentiated (close-substitute) products
- **Large price control** - significant control over their own price
- **Barriers to entry** - high brand loyalty and capital requirements
- **Strong interdependence** - must consider competitors' responses

Examples:

- **Automobiles:** Maruti, Hyundai, Tata, Honda (differentiated by features, price, brand)
- **Smartphones:** Samsung, Apple, OnePlus, Redmi (different brands with unique features)
- **Airlines:** Air India, IndiGo, Vistara (different service levels, comfort)

3. MONOPOLY

Definition: Market with only ONE seller of a unique product with no close substitutes and complete control over price.

Main Features:

- ✓ **One firm only** - sole producer/seller
- ✓ **Unique product** - no close substitutes
- ✓ **Price maker** - complete control over price (can set any price)
- ✓ **Strong barriers to entry** - other firms cannot easily enter
- ✓ **Demand = Market demand** - firm faces the entire market demand

Types of Barriers to Entry:

1. **Government regulation:** Government gives monopoly (e.g., Indian Railways)
2. **Patents:** Unique invention protected by law (e.g., pharmaceutical patents)
3. **Natural resources:** Control of raw materials (e.g., certain minerals)
4. **High capital cost:** Too expensive for competitors to enter (e.g., utilities)
5. **Economies of scale:** One firm serves entire market at lowest cost

Examples:

- Indian Railways (govt monopoly for rail transport)
- NTPC (electricity generation in some areas)
- Water/Electricity utilities in cities
- Certain medicines with patents

QUICK COMPARISON: KEY DIFFERENCES

Aspect	Perfect Competition	Monopolistic	Oligopoly	Monopoly
Firms	Many	Many	Few	One
Price Control	None	Little	Some	Complete
Entry	Free	Free	Difficult	Blocked
Example	Wheat farming	Restaurants	Cars	Railways

KEY TAKEAWAY: The structure of a market determines how much control a firm has over its price. In perfect competition, firms have NO price control (they are price takers). As we move toward monopoly, firms gain more and more price control, until a monopolist is a complete price maker.